

GY457: Applied Urban and Real Estate Economics

Winter Term 2026

Course Manager

Prof. Christian Hilber (CKK.4.22)

Office hours: Normally Mondays, 16:15-17.45 (Winter Term). Please book via *LSE's Student Hub* (<https://studenthub.lse.ac.uk/welcome>). See Student Hub for exceptions.

E-mail: c.hilber@lse.ac.uk Personal homepage: <https://sites.google.com/view/hilber>

Google Scholar: <http://tinyurl.com/opsnp7a> X: <https://x.com/ChrisALHilber>

Bluesky: <https://bsky.app/profile/christianhilber.bsky.social>

Lecture and Seminar Times for the Winter Term

Lectures: W1-W5 & W7-W11: Monday 14-16, CBG.1.01

W7: Wednesday 14-16, PAR.1.02

Revision lecture: W11: Wednesday 14-16:30, CBG.G.01

Seminars: Group 1: W3-W5 & W8-W10: Wed 10-11:30, CKK.2.13

Group 2: W3-W5 & W8-W10: Wed 14:30-16, CBG.1.03

(Detailed schedule on page 4. The seminar sub-group allocation is available on Moodle.)

Teaching Method

11 regular lectures (2 hours) and 6 seminars (1½ hours) during WT. Revision lecture at end of WT (W11; 2½ hours). For seminars, students are expected to read key texts regularly and give presentations. Specifics (e.g., discussion topics) are announced during the term.

Teaching Material

Lecture handouts are available prior to the lecture and can be downloaded from **Moodle** (<https://moodle.lse.ac.uk/> – see under GY457). Other relevant documents (syllabus etc.) are available on Moodle as well.

Course Objectives and Requirements

The course aims to provide students with a theoretical and empirical understanding of urban economic processes and price determination in land and real property markets within an institutional context. The course is intended primarily for students of the MSc in Real Estate Economics and Finance Programme. It is assumed that students already have knowledge of economics equivalent to a good first degree in the subject. It is available as an option to students who can show that they are suitably qualified.

Assessment

Three-hour **written examination** in May or June (100%)—date to be confirmed. Exam format: Answer 2 out of 4 questions. Answer one question from each section (AT+WT). No additional materials are permitted. Calculators are not allowed. *(Note: This is a change in exam format from previous years, where students had to answer 3 out of 4 questions. Past exam papers still provide a useful guide to the style of questions.)*

Syllabus for Winter Term (Provisional)

BLOCK I: THE ROLE OF THE GOVERNMENT IN REAL ESTATE MARKETS – Prof. C. Hilber

Introduction—*Winter Term Lectures and BLOCK I*

Topic 1: Local Governments, Public Finances & Housing Markets

Lecture handout 1. Week 1-2. Corresponding seminar: Seminar 1 in Week 3.

- 1.1 Centralized vs. Decentralized Provision of Local Public Goods
- 1.2 Territorial Competition and the Tiebout Hypothesis
- 1.3 Tiebout-Sorting and House Price Capitalization
- 1.4 Empirical Evidence

Topic 2: Land Use Regulation

Lecture handout 2. Weeks 2-4. Corresponding seminar: Seminar 2 in Week 4.

- 2.1 What is Land Use Regulation?
- 2.2 Welfare Economic Justifications for Land Use Regulation: Correcting Market Failure
- 2.3 The Political Economy and the Origins of Land Use Regulation
- 2.4 Empirical Evidence: External Benefits and External Costs
- 2.5 Empirical Evidence: Net Welfare Impact

BLOCK II: URBAN PROPERTY MARKETS & PRICE DYNAMICS – Prof. C. Hilber

Topic 3: Identifying the Housing Supply and Demand Curves

Lecture handout 3. Weeks 4-5. Corresponding seminar: Seminar 3 in Week 5.

- 3.1 The Identification Problem
- 3.2 Estimating the Supply Price Elasticity
- 3.3 Estimating the Demand Price Elasticity
- 3.4 Summary of Findings and Implications

Topic 4: Real Estate Cycles: Some Stylized Facts & Theory

Lecture handout 4. Week 7. Corresponding seminars: Seminar 4 in Week 8 (Markets around globe) + Seminar 5 in Week 9 (Past exam question on real estate cycles).

- 4.1 Real Estate Cycles: Some Stylized Facts
- 4.2 Theoretical considerations: The Role of the Demand and Supply Price Elasticity

Topic 5: Real Estate Cycles Driven by Exogenous Demand Shocks

Lecture handout 5. Weeks 7-8. Corresponding seminar: Seminar 5 in Week 9 (Past exam question on real estate cycles).

- 5.1 The Role of Long-Term Supply Constraints and Demand Shocks: The Case of England
 - a) Different Types of long-run supply constraints
 - b) Endogeneity concerns & identification of causal effects
 - c) Empirical results for England
 - d) Counterfactual analysis for England
- 5.2 The Role of Credit Conditions

BLOCK II (Continued) – Prof. C. Hilber

Topic 6: Endogenously Driven Real Estate Cycles & Behavioural Explanations

Lecture handout 6. Weeks 8-9. Corresponding seminars: Seminar 5 in Week 9 (Past exam question on real estate cycles).

- 6.1 Some Further Stylized Facts and Puzzles
- 6.2 Endogenously Driven Cycles & Behavioural Explanations: Theories and Evidence
 - a) Myopic Agents & Lags
 - b) Irrational Exuberance (Euphoria, 'Bubbles')
 - c) Liquidity Constraints
 - d) Loss Aversion
 - e) Option Theory and Investment Lags
 - f) Search Theory & Matching
- 6.3 What About Rent Dynamics? What About the Price-to-Rent Ratio?
- 6.4 Residential vs. Commercial Real Estate Cycles
- 6.5 Conclusions and Policy Implications

BLOCK III: HOUSING ISSUES AND POLICIES – Prof. C. Hilber & Dr. X. Yu

Topic 7: Owning vs. Renting: Externalities, Determinants & Policies (if time permits)

Lecture handout 7. Week 10. Corresponding seminars: Seminar 6 in Week 10.

- 7.1 Some Stylized Facts about Homeownership Attainment
- 7.2 Motivation: (Why) Should We Care about Homeownership Attainment?
- 7.3 Homeownership Subsidies: Justified or Not? (Market Failure vs. Policy Failure)
- 7.4 What Factors Determine Individual Tenure Choice and Local Homeownership Rates?
- 7.5 Are Homeownership Subsidies Effective? (Discussed during seminar only)

Topic 8: Housing Issues in China: Facts, Policies & Policy Evaluation

Lecture handout 8. Weeks 10-11. No seminar.

- 8.1 Some General Stylized Facts on Chinese Cities
- 8.2 China's Housing Affordability Issues: The Problem and Potential Causes
- 8.3 Implemented Policies and Policy Evaluation
- 8.4 Other Housing-Related Problems (If time permits)
 - a) Overbuilding and Ghost Towns: Facts and Potential Causes
 - b) Local Government Debt: Facts and Potential Causes
- 8.5 Conclusions

Revision Session

Week 11. Wednesday 14.00-16:30. CBG.G.01

Detailed Provisional Schedule for *Winter-Term-Blocks I to III*

(WT 2026: Prof. Christian Hilber = CH, Dr. Ignacio Aravena-Gonzalez = IAG,
Dr. Xiaolun Yu = XY, Dr. Sara Bagagli = SB)

<i>Week</i>	<i>Date (Weekday)</i>	<i>Lecture/Seminar</i>	<i>Time</i>	<i>Room</i>	<i>Teacher</i>
Week 1	19 Jan (Mon)	Lecture 1 (Topic 1)	14.00 – 16.00	CBG.1.01	CH
Week 2	26 Jan (Mon)	Lecture 2 (Topics 1&2)	14.00 – 16.00	CBG.1.01	CH
Week 3	2 Feb (Mon)	Lecture 3 (Topic 2)	14.00 – 16.00	CBG.1.01	CH
	4 Feb (Wed)	Seminar 1 (G1)	10.00 – 11.30	CKK.2.13	CH
		Seminar 1 (G2)	14.30 – 16:00	CBG.1.03	CH
Week 4	9 Feb (Mon)	Lecture 4 (Topic 2&3)	14.00 – 16.00	CBG.1.01	CH
	11 Feb (Wed)	Seminar 2 (G1)	10.00 – 11.30	CKK.2.13	CH
		Seminar 2 (G2)	14.30 – 16:00	CBG.1.03	CH
Week 5	16 Feb (Mon)	Lecture 5 (Topic 3)	14.00 – 16.00	CBG.1.01	CH
	18 Feb (Wed)	Seminar 3 (G1)	10.00 – 11.30	CKK.2.13	IAG*
		Seminar 3 (G2)	14.30 – 16.00	CBG.1.03	IAG*
Week 6	23 Feb (Mon)	<i>Reading Week (no lecture or seminar)</i>			
	25 Feb (Wed)				
Week 7	2 Mar (Mon)	Lecture 6 (Topic 4)	14.00 – 16.00	CBG.1.01	CH
	4 Mar (Wed)	Lecture 7 (Topics 4&5)	14.00 – 16.00	PAR.1.02	CH
Week 8	9 Mar (Mon)	Lecture 8 (Topics 5&6)	14.00 – 16.00	CBG.1.01	CH
	11 Mar (Wed)	Seminar 4 (G1)	10.00 – 11.30	CKK.2.13	CH
		Seminar 4 (G2)	14.30 – 16.00	CBG.1.03	CH
Week 9	16 Mar (Mon)	Lectures 9 (Topic 6)	14.00 – 16.00	CBG.1.01	CH
	18 Mar (Wed)	Seminar 5 (G1)	10.00 – 11.30	CKK.2.13	CH
		Seminar 5 (G2)	14.30 – 16:00	CBG.1.03	CH
Week 10	23 Mar (Mon)	Lecture 10 (Topics 7&8)	14.00 – 16.00	CBG.1.01	CH/XY
	25 Mar (Wed)	Seminar 6 (G1)	10.00 – 11.30	CKK.2.13	CH
		Seminar 6 (G2)	14.30 – 16:00	CBG.1.03	CH
Week 11	30 Mar (Mon)	Lecture 11 (Topic 8)	14.00 – 16.00	CBG.1.01	XY
	1 Apr (Wed)	Revision session	14.00 – 16:30	CBG.G.01	CH/SB

Notes: Seminar group allocation: See separate handout! * Office hours of Ignacio Aravena-González: Normally Wednesdays 12-14, W4: Monday 12-14.

Reading List by Topic (Provisional) Last update: 14/1/2026

Notes: Almost all readings, including books, are available at the library. Most readings are downloadable via [LSE's e-journals system](#).

To make your life easier we created a [Reading List @ LSE Library](#) (search for: GY457).

Electronic versions of journal articles may also easily be accessed by CTRL-clicking on the hyperlinks below. These hyperlinks are either stable URL or DOI addresses that provide direct links to the electronic versions of the paper (in pdf format).

Further information is available **on Moodle** (<https://moodle.lse.ac.uk/> – see under GY457).

Non-journal readings unfortunately are not readily accessible via hyperlinks. However, I will make other important texts (e.g., textbook chapters), for which (i) electronic versions exist and (ii) copyright is obtainable, available on the [Reading List @ LSE Library](#).

Core and seminar readings are compulsory. For **seminar readings**, students are expected to understand the main argument/insights—an “executive summary” level of understanding. For empirical papers, this normally includes the research question, setting, method, main findings, and conclusions. For theoretical papers, this typically includes the research question, theoretical framework, main predictions, simulation results (if any), and conclusions. For **core readings**, a more in-depth understanding of all these elements is expected.

Note that this reading list is **provisional** in nature. Revised versions may be made available on Moodle throughout the term.

I Main Text Books (relevant mainly for AT lectures)

The course relies heavily on journal articles. We do not have one main text book but a number of readings are chapters from the following ‘classic textbooks’:

DiPasquale D., and W. Wheaton, 1996, [Urban Economics and Real Estate Markets](#), Prentice Hall, Englewood Cliffs (N.J.). Course Collection HD257 D59. (A new edition is currently in preparation.)

McDonald, J. F. and D. P. McMillen, 2011, [Urban Economics and Real Estate, Theory and Policy](#) (2nd Edition), Blackwell.

O’Sullivan A., 2018, [Urban Economics](#) (9th Edition; earlier edition also fine), Irwin/McGraw-Hill. Course Collection HT321 O81.

Other textbooks will also be used:

Bogart W. T., 1998, [The Economics of Cities and Suburbs](#), Prentice Hall, Englewood Cliffs (N.J.). Course Collection HT321 B66. (This book is no longer available in the UK.)

McDonald J., 1997, [Fundamentals of Urban Economics](#), Prentice Hall, Englewood Cliffs (N.J.). Course Collection HT321 M34. The book may make a worthwhile buy.

II Other Recommended Textbooks

Ball M., C. Lizieri and B. MacGregor, 1998, [The Economics of Commercial Property Markets](#), Routledge. Course Collection HB711 B17.

Brueckner, J.K., 2011, [*Lectures on Urban Economics*](#), MIT Press, Cambridge, MA. Course Collection HT321 B88. The book may make a worthwhile buy.

Fujita, M. 1989, [*Urban Economic Theory. Land Use and City Size*](#), Cambridge. Course Collection HD111 F96 (advanced text book).

Mills E. S. and B. Hamilton, 1994, [*Urban Economics*](#) (5th Ed.), Harper Collins. Course Collection HT321 M65.

O'Flaherty, B., 2005, [*City Economics*](#), Harvard University Press.

III Recommended Handbooks

Cheshire, P.C. and C.A.L. Hilber, 2017, [*The Economics of Land Markets and Their Regulation*](#), The International Library of Critical Writings in Economics series, No. 331, Cheltenham (U.K.): Edward Elgar Publishing.

Cheshire, P.C. and E.S. Mills, 1999, [*Handbook of Regional and Urban Economics*](#), Vol. III: *Applied Urban Economics*, North Holland. Course Collection HT391.3 H23.

Duranton, G., V. Henderson & W. Strange, 2015, [*Handbook of Regional and Urban Economics*](#), Vol. V, North Holland.

Henderson, J. V. and J. F. Thisse, 2004, [*Handbook of Regional and Urban Economics*](#), Vol. IV: *Cities and Geography*, Elsevier.

IV Other Recommended Books

Cheshire, P.C., M. Nathan and H.G. Overman, 2014, [*Urban Economics and Urban Policy. Challenging Conventional Policy Wisdom*](#), Edward Elgar.

Fischel, W.A., 2015, *Zoning Rules! The Economics of Land Use Regulation*, Lincoln Institute of Land Policy.

Glaeser, E., 2011, [*Triumph of the City: how our greatest invention makes us richer, smarter, greener, healthier and happier*](#), Penguin Press.

V Provisional Reading List by Topic

BLOCK I: THE ROLE OF THE GOVERNMENT IN REAL ESTATE MARKETS

Introduction—*Winter Term Lectures and BLOCK I*

Topic 1: Local Governments, Public Finances & Housing Markets

Lecture handout 1. Week 1. Corresponding seminar: Seminar 1 in Week 3.

- 1.1 Centralized vs. Decentralized Provision of Local Public Goods
- 1.2 Territorial Competition and the Tiebout Hypothesis
- 1.3 Tiebout-Sorting and House Price Capitalization
- 1.4 Empirical Evidence

Core Readings (compulsory)

Chaudry-Shah, A., 1988, "Capitalization and the Theory of Local Public Finance: An Interpretive Essay," [*Journal of Economic Surveys* 2, 209-243](#).

Hilber, C.A.L., 2017 "The Economic Implications of House Price Capitalization. A Synthesis," [*Real Estate Economics* 45\(2\), 301-339.](#)

Oates W. E., 1969, "The Effects of Property Taxes and Local Public Spending on Property Values: An Empirical Study of Tax Capitalization and the Tiebout Hypothesis," [*Journal of Political Economy* 77, 957-971.](#)

Seminar Readings (compulsory for Seminar 1)

Basten, C., M. v. Ehrlich and A. Lassmann, 2017, „Income Taxes, Sorting and the Costs of Housing: Evidence from Municipal Boundaries in Switzerland," [*Economic Journal*, 127, 653-687.](#)

Fisman, R. and R. Gatti, 2002, "Decentralization and corruption: evidence across countries," [*Journal of Public Economics* 83, 325-345.](#)

Hilber C.A.L. and C. J. Mayer, 2004, "School Funding Equalization and Residential Location for the Young and the Elderly," [*Brookings-Wharton Papers on Urban Affairs* 2004 \(5\), 107-148.](#)

Hilber, C.A.L., T. Lyytikäinen and W. Vermeulen, 2011, "Capitalization of Central Government Grants into Local House Prices: Panel Data Evidence from England," [*Regional Science and Urban Economics* 41\(4\), 394-406.](#)

Oates W., 1999, "An Essay on Fiscal Federalism," [*Journal of Economic Literature* 37\(3\), 1120-1149.](#)

Rhode, P. W. and K. S. Strumpf, 2003, "Assessing the Importance of Tiebout Sorting: Local Heterogeneity from 1850 to 1990," [*American Economic Review* 93, 1648-1677.](#)

Tiebout C. M., 1956, "A Pure Theory of Local Expenditures," [*Journal of Political Economy* 64, 416-424.](#)

Other Relevant Readings (to deepen understanding + further background readings)

Banzhaf, H.S. and R.P. Walsh, 2008, "Do People Vote with Their Feet? An Empirical Test of Tiebout's Mechanism," [*American Economic Review* 98\(3\), 843-863.](#)

Best, M.C. and H.J. Kleven, 2018, "Housing Market Responses to Transaction Taxes: Evidence from Notches and Stimulus in the U.K.," [*Review of Economic Studies* 85, 157-193.](#)

Bradbury, K.L., C.J. Mayer and K.E. Case, 2001, "Property Tax Limits, Local Fiscal Behavior, and Property Values: Evidence from Massachusetts under Proposition 2½," [*Journal of Public Economics* 80, 287-311.](#)

Brasington, D. and D.R. Haurin, 2006, Educational Outcomes and House Values: A Test of the Value Added Approach, [*Journal of Regional Science* 46\(2\), 245-268.](#)

Cheshire, P. and S. Sheppard, 2004, "Capitalising the Value of Free Schools: The Impact of Supply Characteristics and Uncertainty," [*Economic Journal* 114\(499\), F397-F424.](#)

Diamond, R., 2017, "Housing Supply Elasticity and Rent Extraction by State and Local Governments," [*American Economic Journal: Economic Policy* 9, 74-111.](#)

DiPasquale & Wheaton (1996), Chapter 13.

Dowding K., P. John and S. Biggs, 1994, "Tiebout: A Survey of the Empirical Literature," [*Urban Studies* 31, 767-97.](#)

- Gibbons, S. and S. Machin, 2003, "Valuing English Primary Schools," [*Journal of Urban Economics* 53, 197-219.](#)
- Gibbons, S. and S. Machin, 2006, "Paying for Primary Schools: Admission Constraints, School Popularity or Congestion?," [*Economic Journal* 116\(510\), C77-C92.](#)
- Glaeser E. L., 2012, "Urban Public Finance," in A.J. Auerbach, R. Chetty, M. Feldstein & E. Saez (Editors): [*Handbook of Public Economics. Volume 5.*](#) Amsterdam/Oxford: North Holland. (Article downloadable from [here.](#))
- Hilber, C.A.L. & T. Lyytikäinen, 2017, "Transfer taxes and household mobility: Distortion on the housing or labor market?," [*Journal of Urban Economics* 101, 57-73.](#)
- Kane, T.J., S.K. Riegg and D.O. Staiger, 2006, "School Quality, Neighborhoods, and Housing Prices," [*American Law and Economics Reviews* 8\(2\), 183-212.](#)
- McDonald (1997)**, Chapter 10.
- McMillan, M. and R. Carlson, 1977, "The Effects of Property Taxes and Local Public Services upon Residential Property Values in Small Wisconsin Cities," [*American Journal of Agricultural Economics* 59, 81-87.](#)
- Reinikka, R. and J. Svensson, 2004, "Local Capture: Evidence from a Central Government Transfer Program in Uganda," [*Quarterly Journal of Economics* 119\(2\), 679-705.](#)
- Rosenthal, L., 2003, "The Value of Secondary School Quality," [*Oxford Bulletin of Economics and Statistics* 65\(3\), 329-355.](#)
- Tazi, V. 1996, "Fiscal Federalism and Decentralization: A Review of Some Efficiency and Macroeconomic Aspects," [*Annual World Bank Conference on Development Economics* 1995](#), Washington, DC, 295-316.

Topic 2: Land Use Regulation

Lecture handout 2. Weeks 2-4. Corresponding seminar: Seminar 2 in Week 4.

- 2.1 What is Land Use Regulation?
- 2.2 Welfare Economic Justifications for Land Use Regulation:
Correcting Market Failure
- 2.3 The Political Economy and the Origins of Land Use Regulation
- 2.4 Empirical Evidence: External Benefits and External Costs
- 2.5 Empirical Evidence: Net Welfare Impact

Core Readings (compulsory)

- Cheshire, P., 2013, "Land market regulation: market versus policy failures," [*Journal of Property Research* 30\(3\), 170-188.](#)
- Gyourko, J. and R. Molloy, 2015, "Regulation and Housing Supply," in G. Duranton, V. Henderson and W. Strange (Eds.) [*Handbook of Regional and Urban Economics, Vol. 5, Chapter 19*](#), 1289-1337.
- Hilber, C.A.L. and F. Robert-Nicoud, 2013, "On the Origins of Land Use Regulations: Theory and Evidence from US Metro Areas," [*Journal of Urban Economics* 75, 29-43.](#)

Turner, M.A., A. Haughwout and W. Van Der Klaauw, 2014, "Land Use Regulation and Welfare," [*Econometrica* 82\(4\), 1341-1403](#).

Seminar Readings (compulsory for Seminar 2)

Ahlfeldt, G.M., K. Moeller, S. Waights, N. Wendland, 2017, "Game of Zones: The Political Economy of Conservation Areas," [*Economic Journal* 127, F421-F445](#).

Been, V., I. Gould Ellen, M. Gedal, E. Glaeser and B.J. McCabe, 2016, "Preserving History or Restricting Development? The Heterogeneous Effects of Historic Districts on Local Housing Markets in New York City," [*Journal of Urban Economics* 92, 16-30](#).

Cheshire, P. and C.A.L. Hilber, 2008, "Office Supply Restrictions in Britain: The Political Economy of Market Revenge," [*Economic Journal* 118\(529\), F185-F221](#).

Cheshire, P. and G. Dericks, 2020, "Trophy Architects' and Design as Rent-seeking: Quantifying Deadweight Losses in a Tightly Regulated Office Market," [*Economica* 87, 1078-1104](#).

Glaeser, E.L., J. Gyourko and R.E. Saks, 2005, "Why is Manhattan so Expensive? Regulation and the Rise in Housing Prices," [*Journal of Law and Economics* 48\(2\), 331-369](#).

Hilber, C., C. Palmer and E. Pinchbeck, 2019, "The Energy Costs of Historic Preservation," [*Journal of Urban Economics* 114, article 103197](#).

Holman, N. and G.M. Ahlfeldt, 2015, "No Escape? The Coordination Problem in Heritage Preservation," [*Environment and Planning A: Economy and Space* 47, 172-187](#).

Koster, H.R.A., J.N. van Ommeren and P. Rietveld, 2016, "Historic Amenities, Income and Sorting of Households," [*Journal of Economic Geography* 16, 203-236](#).

Other Relevant Readings (to deepen understanding + further background readings)

Ahlfeldt, G.M. and N. Holman, 2018, "Distinctively different: A new approach to valuing architectural amenities," [*Economic Journal* 128, 1-33](#).

Ahlfeldt, G.M. and W. Maennig, 2015, "Homevoters vs. Leasevoters: A Spatial Analysis of Airport Effects," [*Journal of Urban Economics*, 87, 85-99](#).

Ahlfeldt, G.M., N. Holman and N. Wendland, 2012, [*An assessment of the effects of conservation areas on value, English Heritage*](#), London, UK.

Albouy, D. and G. Ehrlich, 2018, "Housing Productivity and the Social Cost of Land-Use Restrictions," [*Journal of Urban Economics* 107, 101-120](#).

Barker, K. (2003) [*Review of Housing Supply: Securing our Future Housing Needs: Interim Report – Analysis*](#), London: HMSO.

Barker, K. (2006) [*Barker Review of Land Use Planning; Interim Report - Analysis*](#), London, HMSO. (Final report with recommendations)

Bertaud, A. and J.K. Brueckner, 2005, "Analyzing building height restrictions: predicted impacts and welfare costs", [*Regional Science and Urban Economics* 35\(2\), 109-125](#).

Brueckner, J.K. and R. Singh, 2018, "Stringency of Land-Use Regulation: Building Heights in US Cities," [*Journal of Urban Economics* 116, #103239](#).

Brueckner, J.K., 2000, "Urban Sprawl: Diagnosis and Remedies", [*International Regional Science Review* 23, 160-71](#).

- Brueckner, J.K., S. Fu, Y. Gu and J. Zhang, 2017, "Measuring the Stringency of Land Use Regulation: The Case of China's Building Height Limits," [*Review of Economics and Statistics* 99, 663-677](#).
- Cheshire, P. and K. Kaimakamis, 2022, "Office Scarce but Housing Scarcer: Estimating the Premium for London Office Conversions," [*Real Estate Economics* 50, 743-766](#).
- Cheshire, P. and S. Sheppard, 2002, "Welfare Economics of Land Use Regulation", [*Journal of Urban Economics* 52, 242-69](#).
- Cheshire, P. and S. Sheppard, 2005, "The Introduction of Price Signals into Land Use Planning Decision-making: a proposal", [*Urban Studies* 42\(4\), 647-663](#).
- Cheshire, P. and W. Vermeulen, 2009, [*"Land markets and their regulation: the welfare economics of planning,"*](#) In Geyer, H.S. (ed.) *International Handbook of Urban Policy. Volume II: Issues in the Developed World*. Cheltenham: Edward Elgar Publishing.
- Cheshire, P., 2009, *Urban Containment, Housing Affordability and Price Stability - Irreconcilable Goals*, [Paper No SERCPP004](#), LSE.
- Cheshire, P.C., C.A.L. Hilber & I. Kaplanis, 2015, "Land Use Regulation and Productivity – Land Matters: Evidence from a UK supermarket chain," [*Journal of Economic Geography*, 15\(1\): 43-73](#).
- Cheshire, P.C, C.A.L. Hilber & H. Koster, 2018, "Empty Homes, Longer Commutes: The Unintended Consequences of More Restrictive Local Planning," [*Journal of Public Economics* 158, 126-151](#).
- Cooper, G.C.K. & K. Namit, 2021, "City with a billion dollar view," [*New Zealand Economic Papers* 55\(1\), 19-37](#).
- Dehring, C.A., C.A. Depken II & M.R. Ward, 2008, "A Direct Test of the Homevoter Hypothesis," [*Journal of Urban Economics* 64, 155-170](#).
- Duranton, G. and D. Puga, 2023, "Urban Growth and Its Aggregate Implications," [*Econometrica* 91\(6\), 2219-2259](#).
- Ehrlich, M.V., C.A.L. Hilber and O. Schöni, 2018, "Institutional Settings and Urban Sprawl: Evidence from Europe," [*Journal of Housing Economics* 42, 4-18](#).
- Evans, A.W. and O. M. Hartwich, 2006, "Bigger, Better, Faster, More: Why some countries plan better than others," [*Policy Exchange*](#).
- Evenson, B. and Wheaton, W, 2003, "Local Variation in Land Use Regulation", [*Brookings Wharton Papers on Urban Affairs* 2003: 221-260](#).
- Ferreira, F.V. and J. Gyourko, "Does Political Partisanship Affect Housing Supply? Evidence from US Cities," [NBER Working Paper No. 31966, December](#).
- Fischel (2015)**, see under IV – Other Recommended Books.
- Fischel, W.A., 2001, "Homevoters, Municipal Corporate Governance, and the Benefit View of the Property Tax," [*National Tax Journal* 54\(1\), 157-173](#).
- Glaeser, E. and J Gyourko, 2018, "The Economic Implications of Housing Supply," [*Journal of Economic Perspectives* 32\(1\), 3-30](#).

- Glaeser, E., J. Gyourko and R. Saks, 2005, "Why Have Housing Prices Gone Up?", [*American Economic Review Papers and Proceedings* 95\(2\), 329-333](#).
- Glaeser, E.L. and B.A. Ward, 2009, "The Causes and Consequences of Land Use Regulation: Evidence from Greater Boston," [*Journal of Urban Economics* 65, 265-278](#).
- Greaney, B., C.A.L. Hilber, H.R.A. Koster, G. Loumeau, A. Parkhomenko, 2025, "Land use regulation, homeownership, and the cost of NIMBYism," [LSE mimeo, December](#).
- Green, R.K., S. Malpezzi and S.K. Mayo, 2005, "Metropolitan-Specific Estimates of the Price Elasticity of Supply of Housing, and Their Sources," [*American Economic Review Papers and Proceedings*, 95\(2\), 334-339](#).
- Greenaway-McGrevy, R., 2025, "Evaluating the long-run effects of zoning reform on urban development," [*Regional Science and Urban Economics* 111, #104062](#).
- Greenaway-McGrevy, R., 2023, "The impact of upzoning on housing construction in Auckland," [*Journal of Urban Economics* 136, #103555](#).
- Gyourko, J. and J. Krimmel, 2021, "The Impact of Local Residential Land Use Restrictions on Land Values Across and Within Single Family Housing Markets," [*Journal of Urban Economics* 126, #103374](#).
- Herkenhoff, K.F., L.E. Ohanian and E.C. Prescott, 2018, "Tarnishing the golden and empire states: Land-use restrictions and the U.S. economic slowdown," [*Journal of Monetary Economics* 93, 89-109](#).
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- Hsieh, C.-T. and E. Moretti, 2019, "Housing Constraints and Spatial Misallocation," [*American Economic Journal: Macroeconomics* 11\(2\), 1-39](#).
- Kok, N., P. Monkkonen & J.M. Quigley, 2014, "Land Use Regulations and the Value of Land and Housing: An Intra-Metropolitan Analysis," [*Journal of Urban Economics* 81, 136-148](#).
- Koster, H., 2020, "The Welfare Effects of Greenbelt Policy: Evidence from England," [*Economic Journal* 134, 363-401](#).
- Mayer, C.J. & C.T. Somerville, 2000, "Land Use Regulation and New Construction," [*Regional Science and Urban Economics* 30, 639-662](#).
- Molloy, R., 2020, "The Effect of Housing Supply Regulation on Housing Affordability: A Review," [*Regional Science and Urban Economics* 80, #103350](#).
- Parkhomenko, A., 2023, "Local Causes and Aggregate Implications of Land Use Regulation," [*Journal of Urban Economics* 138, #103605](#).
- Saiz, A., 2010, "The Geographic Determinants of Housing Supply," [*Quarterly Journal of Economics* 125\(3\), 1253-1296](#).
- Saks, R.E., 2008, "Job Creation and Housing Construction: Constraints on Metropolitan Area Employment Growth," [*Journal of Urban Economics* 64, 178-195](#).

Zhang, J., 2023, "Measuring the Stringency of Land Use Regulation: A Shadow Price Approach," [*Journal of Urban Economics Insight* 133, #103461](#).

BLOCK II: URBAN PROPERTY MARKETS & PRICE DYNAMICS

Topic 3: Identifying the Housing Supply and Demand Curves

Lecture handout 3. Weeks 4-5. Corresponding seminar: Seminar 3 in Week 5.

- 3.1 The Identification Problem
- 3.2 Estimating the Supply Price Elasticity
- 3.3 Estimating the Demand Price Elasticity
- 3.4 Summary of Findings and Implications

Core Readings (compulsory – also relevant for corresponding Seminar 3)

Baum-Snow, N. and L. Han, 2024, "The Microgeography of Housing Supply," [*Journal of Political Economy* 132, 1897-1946](#). ([Accepted Working Paper version, September 2023](#).)

Hilber, C.A.L. and C. J. Mayer, 2009, "Why Do Households without Children Support Local Public Schools? Linking House Price Capitalization to School Spending," [*Journal of Urban Economics* 65\(1\), 74-90](#).

Hilber, C.A.L. and A. Mense, 2025, "The Rise and Fall of the Price-to-Rent Ratio: Why Are Superstar Cities Different?," Forthcoming [*Economic Journal*](#). ([Article](#); [Appendix](#))

Mayer, C.J., C.T. Somerville, 2000, "Residential Construction: Using the Urban Growth Model to Estimate Housing Supply," [*Journal of Urban Economics* 48, 85-109](#).

Saiz, A., 2010, "The Geographic Determinants of Housing Supply," [*Quarterly Journal of Economics* 125\(3\), 1253-1296](#)

Other Relevant Readings (to deepen understanding + further background readings)

Baum-Snow, N. and F. Ferreira, 2015, "Causal Inference in Urban and Regional Economics," in: G. Duranton, J.V. Henderson, and W. Strange (eds.) [*Handbook in Regional and Urban Economics*](#), Vol. 5, Chapter 1, 3-68.

Blackley, D.M., 1999, "The Long-Run Elasticity of New Housing Supply in the United States: Empirical Evidence for 1950 to 1994," [*Journal of Real Estate Finance and Economics* 18\(1\), 25-42](#).

Büchler, S., M. v. Ehrlich and O. Schöni, 2021, "The Amplifying Effect of Capitalization Rates on Housing Supply," [*Journal of Urban Economics* 126, #103370](#).

Davidoff, T., 2016, "Supply Constraints Are Not Valid Instrumental Variables for Home Prices Because They Are Correlated With Many Demand Factors," [*Critical Finance Review*, 5, 177-206](#).

DiPasquale, D. and W. Wheaton, 1994, "Housing Market Dynamics and the Future of Housing Prices," [*Journal of Urban Economics* 35\(1\), 1-27](#).

DiPasquale, Denise, 1999, "Why Don't We Know More about Housing Supply?" [*Journal of Real Estate Finance and Economics* 18\(1\), 9-23](#).

- Ermisch, J. F., J. Findlay and K. Gibb, 1996, "The Price Elasticity of Housing Demand in Britain: Issues of Sample Selection," [*Journal of Housing Economics* 5\(1\), 64-86.](#)
- Gibbons, S., H.G. Overman and E. Patacchini, 2015, "Spatial Methods," in: G. Duranton, J.V. Henderson, and W. Strange (eds.) [*Handbook in Regional and Urban Economics, Vol. 5, Chapter 3, 115-168.*](#)
- Goldsmith-Pinkham, P., I. Sorkin & H. Swift, 2020, "Bartik Instruments: What, When, Why, and How," [*American Economic Review*, 110\(8\), 2586-2624.](#)
- Green, R. K., S. Malpezzi & S.K. Mayo, 2005, "Metropolitan-Specific Estimates of the Price Elasticity of Supply of Housing, and Their Sources," [*American Economic Review*, 95\(2\), 334-339.](#)
- Harter-Dreiman, M., 2004, "Drawing Inferences about Housing Supply Elasticity from House Price Responses to Income Shocks," [*Journal of Urban Economics* 55\(2\), 316-337.](#)
- Hilber, C.A.L., J. Rouwendal and W. Vermeulen, 2021, "Local Economic Conditions and the Nature of New Housing Supply," [*Journal of Economic Geography* 22\(3\), 339-366.](#)
- Ioannides, Y.M. and J.E. Zabel, 2008, "Interactions, neighborhood selection and housing demand," [*Journal of Urban Economics* 63, 229-252.](#)
- Poterba, J.M., 1984, "Tax Subsidies To Owner-Occupied Housing: An Asset-Market Approach," [*Quarterly Journal of Economics* 99\(4\), 729-752.](#)
- Rosenthal, S.S., J.V. Duca, Stuart A. Gabriel, 1991, "Credit Rationing and the Demand for Owner-Occupied Housing," [*Journal of Urban Economics* 30\(1\), 48-63.](#)
- Topel, R and S. Rosen, 1988, "Housing Investment in the United States," [*Journal of Political Economy* 96\(4\), 718-740.](#)

Topic 4: Real Estate Cycles: Some Stylized Facts & Theory

Lecture handout 4. Week 7. Corresponding seminars: Seminar 4 in Week 8 + Seminar 5 in Week 9 (Past exam question on real estate cycles).

- 4.1 Real Estate Cycles: Some Stylized Facts
- 4.2 Theoretical considerations: The Role of the Demand and Supply Price Elasticity

Core Readings (compulsory – also relevant for corresponding Seminar 4)

- Capozza, D. R., P. H. Hendershott and C. Mack, 2004, "An Anatomy of Price Dynamics in Illiquid Markets: Analysis and Evidence from Local Housing Markets," [*Real Estate Economics* 32\(1\), 1-32.](#)
- Wheaton, W. C., 1999, "Real estate cycles: Some fundamentals," [*Real Estate Economics* 27, 209-231.](#)

Other Relevant Readings (to deepen understanding + further background readings)

- Bracke, P., 2013, "How long do housing cycles last? A duration analysis for 19 OECD countries," [*Journal of Housing Economics* 22\(3\), 213-230.](#)

Cho, M., 1996, "House price dynamics: a survey of theoretical and empirical issues," *Journal of Housing Research* 7, 145-72. (Main Collection HD7285) (Survey article) ([Downloadable from within Moodle](#))

DiPasquale & Wheaton (1996), Chapter 10.

Gallin, J., 2006, "The Long-Run Relationship between House Prices and Income: Evidence from Local Housing Markets," *Real Estate Economics*, 34(3), 417-438.

Glaeser, E. and J. Gyourko, 2005, "Urban Decline and Durable Housing," *Journal of Political Economy* 113(2), 345-375.

Knoll, K., M. Schularick, and T. Steger, 2017, "No Price Like Home: Global House Prices," *American Economic Review*, 107(2), 331-353.

Muellbauer, J., and A. Murphy, 1997, "Booms and busts in the UK housing market," *Economic Journal* 107, 1701-27.

Oikarinen, E., S.C. Bourassa, M. Hoesli and J. Engblom, 2018, U.S. Metropolitan House Price Dynamics," *Journal of Urban Economics* 105, 54-69.

Sa, F., 2015, "Immigration and House Prices in the UK," *Economic Journal* 125, 1393-1424.

Saiz, A., 2010, "The Geographic Determinants of Housing Supply," *Quarterly Journal of Economics* 125(3), 1253-1296.

Saks, R.E., 2008, "Job Creation and Housing Construction: Constraints on Metropolitan Area Employment Growth," *Journal of Urban Economics* 64, 178-195.

Sanchis-Guarner, R., 2023, "Decomposing the Impact of Immigration on House Prices," *Regional Science and Urban Economics* 100, 103893.

Topic 5: Real Estate Cycles Driven by Exogenous Demand Shocks

Lecture handout 5. Weeks 7-8. Corresponding seminar: Seminar 5 in Week 9 (Past exam question on real estate cycles).

- 5.1 The Role of Long-Term Supply Constraints and Demand Shocks:
The Case of England
 - a) Different Types of long-run supply constraints
 - b) Endogeneity concerns & identification of causal effects
 - c) Empirical results for England
 - d) Counterfactual analysis for England
- 5.2 The Role of Credit Conditions

Core Readings (compulsory)

Favara, G. and J. Imbs, 2015, "Credit Supply and the Price of Housing," *American Economic Review* 105(3), 958-992.

Hilber, C. and W. Vermeulen, 2016, "The Impact of Supply Constraints on House Prices in England," *Economic Journal* 126(591), 358-405.

Seminar Readings (compulsory for Seminar 5)

To answer sub-question a: See the compulsory Core Readings for Topics 5 and 6.

To answer sub-question b:

Capozza, D. R., P. H. Hendershott and C. Mack, 2004, "An Anatomy of Price Dynamics in Illiquid Markets: Analysis and Evidence from Local Housing Markets," [*Real Estate Economics* 32\(1\), 1-32](#).

To answer sub-question c:

DeFusco, A., W. Ding, F. Ferreira and J. Gyourko, 2018, "The Role of Price Spillovers in the American Housing Boom," [*Journal of Urban Economics* 108, 72-84](#). (See also: [Hilber's comments](#) on an earlier version of this paper)

Nathanson, C. and E. Zwick, 2018, "Arrested Development: Theory and Evidence of Supply-Side Speculation in the Housing Market," [*Journal of Finance* 73\(6\), 2587-2633](#).

Other Relevant Readings (to deepen understanding + further background readings)

Blickle, K. 2022, "Local Banks, Credit Supply, and House Prices," [*Journal of Financial Economics* 143\(2\), 876-896](#).

Carozzi, F. 2020, "Credit constraints and the composition of housing sales. Farewell to first-time buyers?," [*Journal of the European Economic Association*, 18\(3\), 1196-1237](#).

Glaeser, E.L., J.D. Gottlieb and J. Gyourko, 2012, "Can Cheap Credit Explain the Housing Boom," in E.L. Glaeser and T. Sinai (Eds.) [*Housing and the Financial Crisis*, 301-359](#). University of Chicago Press. ([Working Paper Version](#))

Justiniano, A., G.E. Primiceri and A. Tambalotti, 2019, "Credit Supply and the Housing Boom," [*Journal of Political Economy* 127\(3\), 1317-1350](#).

Mian, A. and A. Sufi, 2009, "The Consequences of Mortgage Credit Expansion: Evidence from the U.S. Mortgage Default Crisis," [*Quarterly Journal of Economics* 124\(4\), 1449-1496](#).

Mian, A. and A. Sufi, 2011, "House Prices, Home Equity-Based Borrowing, and the US Household Leverage Crisis," [*American Economic Review* 101\(5\), 2132-56](#).

Topic 6: Endogenously Driven Real Estate Cycles & Behavioural Explanations

Lecture handout 6. Weeks 8-9. Corresponding seminars: Seminar 5 in Week 9 (Past exam question on real estate cycles).

- 6.1 Some Further Stylized Facts and Puzzles
- 6.2 Endogenously Driven Cycles & Behavioural Explanations: Theories and Evidence
 - a) Myopic Agents & Lags
 - b) Irrational Exuberance (Euphoria, 'Bubbles')
 - c) Liquidity Constraints
 - d) Loss Aversion
 - e) Option Theory and Investment Lags
 - f) Search Theory & Matching
- 6.3 What About Rent Dynamics? What About the Price-to-Rent Ratio?
- 6.4 Residential vs. Commercial Real Estate Cycles
- 6.5 Conclusions and Policy Implications

Core Readings (compulsory)

- Case, K., R. Shiller and A.K. Thompson, 2012, "What Have They Been Thinking? Homebuyer Behavior in Hot and Cold Markets," [*Brookings Papers on Economic Activity* Fall 2012, 265-315](#).
- Genesove, D. and C. Mayer, 2001, "Loss Aversion and Seller Behavior: Evidence from the Housing Market," [*Quarterly Journal of Economics* 116, 1233-1260](#). (Main Collection HB1)
- Grenadier, S., 1996, "The strategic exercise of options: Development cascades and overbuilding in real estate markets," [*Journal of Finance*, 51, 1653-1679](#).
- Head, A., H. Lloyd-Ellis and H. Sun, 2014, "Search, Liquidity, and the Dynamics of House Prices and Construction," [*American Economic Review* 104\(4\), 1172-1210](#).
- Hilber, C.A.L. and A. Mense, 2025, "The Rise and Fall of the Price-to-Rent Ratio: Why Are Superstar Cities Different?," Forthcoming [*Economic Journal*](#). ([Article](#); [Appendix](#))
- Ortalo-Magne, F., and S. Rady, 2006, "Housing Market Dynamics: On the Contribution of Income Shocks and Credit Constraints," [*Review of Economic Studies* 73, 459-485](#).
- Wheaton, W. C., 1999, "Real estate cycles: Some fundamentals," [*Real Estate Economics* 27, 209-231](#). (Main Collection HB251)

Seminar Readings (compulsory)

See under Topic 5.

Other Relevant Readings (to deepen understanding + further background readings)

- Armona, L., A. Fuster and B. Zafar, 2019, "Home Price Expectations and Behaviour: Evidence from a Randomized Information Experiment," [*Review of Economic Studies* 86, 1371-1410](#).
- Bailey, M., R. Cao, T. Kuchler and J. Stroebe, 2018, "The Economic Effects of Social Networks: Evidence from the Housing Market," [*Journal of Political Economy* 126\(6\), 2224-2276](#). (earlier Discussion Paper version: [NBER Working Paper No. 22258](#))
- Banerjee, A.V., 1992, "A Simple Model of Herd Behavior," [*Quarterly Journal of Economics* 107\(3\) 797-817](#).
- Bayer, P., K. Mangum and J.W. Roberts, 2021, "Speculative Fever: Investor Contagion in the Housing Bubble," [*American Economic Review* 111\(2\), 609-651](#).
- Bulan, L., C. Mayer, and C.T. Somerville, 2009, "Irreversible Investment, Real Options, and Competition: Evidence from Real Estate Development," [*Journal of Urban Economics* 65, 237-251](#).
- Cipriani, M. and Guarino, A., 2005, "Herd behavior in a laboratory financial market," [*American Economic Review*, 95\(5\), pp.1427-1443](#).
- Case, K. and R. Shiller, 1988, "The behavior of home buyers in boom and post-boom markets," *New England Economic Review* 1988(Nov), 29-46. Paper is downloadable as [NBER Discussion Paper](#). (Note: Enter your LSE email address and temporary link to paper will be sent to you by email.)
- Case, K. and R. Shiller, 1989, "The efficiency of the market for single family homes," [*American Economic Review*, 79, 125-37](#). (Main Collection HB1)

- Case, K. and R. Shiller, 2003, "Is There a Bubble in the Housing Market?," [*Brookings Papers on Economic Activity* 2003\(2\), 299-362.](#)
- Chopra, F., C. Roth and J. Wohlfahrt, 2025, "Home Price Expectations and Spending: Evidence from a Field Experiment," [*American Economic Review*, 115\(7\): 2267-2305.](#)
- Diaz, A. and B. Jerez, 2013, "House Prices, Sales, and Time on the Market: A Search-Theoretic Framework," [*International Economic Review* 54\(3\), 837-872.](#)
- Favilukis, J., S.C. Ludvigson and S. Van Nieuwerburgh, 2017, "The Macroeconomic Effects of Housing Wealth, Housing Finance, and the Limited Risk Sharing in General Equilibrium," [*Journal of Political Economy* 125\(1\), 140-223.](#)
- Ferreira, F. and J. Gyourko, 2023, "Anatomy of the Beginning of the Housing Boom Across U.S. Metropolitan Areas. [*Review of Economics and Statistics* 105\(6\), 1442-1447.](#) (See also [SERC blog on 7/11/2011 by C. Hilber](#) on an earlier version of this paper)
- Genesove, D. and C. Mayer, 1997, "Equity and Time to Sale in the Real Estate Market," [*American Economic Review* 87, 255-69.](#) (Main Collection HB1)
- Giglio, S., M. Maggiori and J. Stroebel, 2016, "No-Bubble Condition: Model-Free Tests in Housing Markets," [*Econometrica*, 84\(3\), 1047-1091.](#)
- Glaeser, E.L., J. Gyourko and A. Saiz, 2008, "Housing supply and housing bubbles," [*Journal of Urban Economics* 64\(2\), 198-217.](#)
- Glaeser, E.L. and C.G. Nathanson, 2017, "An Extrapolative Model of House Price Dynamics," [*Journal of Financial Economics* 126, 1467-170.](#)
- Grenadier, S., 1995, "The persistence of real estate cycles," [*Journal of Real Estate Finance and Economics*, 10, 95-121.](#) (Main Collection HD251)
- Gyourko, J., C. Mayer and T. Sinai, 2010, "Dispersion in House Price and Income Growth across Markets: Facts and Theories," [In: E. Glaeser \(Ed.\), *Agglomeration Economics*, 67-104.](#) (Includes discussion of "Superstar Cities")
- Gyourko, J., C. Mayer and T. Sinai, 2013, "Superstar Cities," [*American Economic Journal: Economic Policy* 5\(4\), 167-199.](#)
- Hendershott, P. H., C. M. Lizieri, and G. A. Matysiak, 1999, "The working of the London office market," [*Real Estate Economics* 27, 365-387.](#) (Main Collection HD251)
- Himmelberg, C., C. Mayer and T. Sinai, 2005, "Assessing High House Prices: Bubbles, Fundamentals and Misperceptions," [*Journal of Economic Perspectives* 19\(4\), 67-92.](#)
- Kahneman, D. and A. Tversky, 1979, "An Analysis of Decision under Risk," [*Econometrica* 47\(2\), 263-292.](#)
- Lamont, O. and J.C. Stein, 1999, "Leverage and House-Price Dynamics in U.S. Cities," [*RAND Journal of Economics* 30\(3\), 498-514.](#)
- Landvoigt, T., M. Piazzesi, and M. Schneider, 2015, "The Housing Market(s) of San Diego," [*American Economic Review* 105\(4\), 1371-1407.](#)
- Ngai, R.L. and K.D. Sheedy, 2019, "The Decision to Move House and Aggregate-Housing Market Dynamics," [*Journal of the European Economic Association*, 18\(5\), 2487-2531.](#)

- Ngai, R.L. and S. Tenreyro, 2014, "Hot and Cold Seasons in the Housing Market," [*American Economic Review* 104\(12\), 3991-4026.](#)
- Ortalo-Magne, F., and S. Rady, 1999, "Boom in, bust out: Young households and the housing price cycle," [*European Economic Review* 43, 755-766.](#)
- Shiller, R., 2014, "Speculative Asset Prices," [*American Economic Review* 104\(6\), 1486-1517.](#) (Shiller's Nobel Prize lecture)
- Sinai, T., 2012, "House Price Moments in Boom-Bust Cycles," in E.L. Glaeser and T. Sinai (Eds.) [*Housing and the Financial Crisis*, 19-68.](#) University of Chicago Press. ([Working Paper Version](#))
- Stein, J. C., 1995, "Prices and Trading Volume in the Housing Market: A Model with Down-Payment Effects," [*Quarterly Journal of Economics* 110\(2\), 379-406.](#)
- Tversky, A. and D. Kahneman, 1991, "Loss Aversion in Riskless Choice: A Reference-Dependent Model," [*Quarterly Journal of Economics* 106\(4\), 1039-1061.](#)
- Wei, S.-J., X. Zhang and Yin Liu, 2017, "Home Ownership as Status Competition: Some Theory and Evidence," [*Journal of Development Economics* 127, 169-186.](#) ([NBER Working Paper Version](#)) (Note: Enter your LSE email address and temporary link to paper will be sent to you by email.)
- Wheaton, W C., 1990, "Vacancy, search, and prices in a housing market matching model," [*Journal of Political Economy*, 98, 1270-92.](#) (Main Collection HB1)

BLOCK III: HOUSING ISSUES AND POLICIES

Topic 7: Owning vs. Renting: Externalities, Determinants & Policies

Lecture Handout 7. Week 9-10. Corresponding seminar: Seminar 7 in Week 10.

- 7.1 Some Stylized Facts about Homeownership Attainment
- 7.2 Motivation: (Why) Should We Care about Homeownership Attainment?
- 7.3 Homeownership Subsidies: Justified or Not? (Market Failure vs. Policy Failure)
- 7.4 What Factors Determine Individual Tenure Choice and Local Homeownership Rates?
- 7.5 Are Homeownership Subsidies Effective? ([Discussed during seminar only](#))

Core Readings (compulsory)

- DiPasquale, D. and E. L. Glaeser, 1999, "Incentives and Social Capital: Are Homeowners Better Citizens?" [*Journal of Urban Economics* 45, 354-384.](#) (Main Collection HJ9103)
- Hilber, C.A.L. and T.M. Turner, 2014, "The Mortgage Interest Deduction and its Impact on Homeownership Decisions," [*Review of Economics and Statistics* 96\(4\), 618-637.](#)

Seminar Readings (compulsory)

See the two Core Readings.

Other Relevant Readings (to deepen understanding + further background readings)

- Badarinza, C. & T. Ramadorai, 2018, "Home Away From Home? Foreign Demand and London House Prices," [*Journal of Financial Economics* 130, 532-555.](#)

- Battu, H., A. Ma and E. Phimister, 2008, "Housing Tenure, Job Mobility and Unemployment in the UK," [*Economic Journal* 118, 311-328](#).
- Blanchflower, D. and A. Oswald, 2013, "Does High Home-Ownership Impair the Labor Market?," [*NBER Working Paper No. 19079*](#). (Note: Enter your LSE email address and temporary link to paper will be sent to you by email.)
- Bracke, P., O. Silva and C. Hilber, 2018, "Mortgage Debt and Entrepreneurship," [*Journal of Urban Economics* 103, 52-66](#).
- Brueckner, J. K., 1997, "Consumption and Investment Motives and the Portfolio Choices of Homeowners", [*Journal of Real Estate Finance and Economics* 15\(2\), 159-180](#).
- Carozzi, F., Hilber, C.A.L., & Yu, X, 2024, "On the Economic Impacts of Mortgage Credit Expansion Policies: Evidence from Help to Buy," [*Journal of Urban Economics* 139, #103611](#).
- Cheshire, P., & Hilber C.A.L., 2019, "Housing," [*CEP Election Analysis Series, Paper EA051*](#), November.
- Coulson, N.E. & H. Li, 2013, "Measuring the external benefits of homeownership," [*Journal of Urban Economics* 77, 57-67](#).
- Delventhal, M.J., E. Kwon and A. Parkhomenko, 2022, "How Do Cities Change When We Work From Home?," [*Journal of Urban Economics Insight*, 127, #103331](#).
- Dietz, R.D. and D.R. Haurin, 2003, "The Social and Private Micro-Level Consequences of Homeownership," [*Journal of Urban Economics* 54, 401-450](#).
- Disney, R., J. Gathergood, S. Machin & M. Sandi, 2023, "Does Homeownership Reduce Crime? A Radical Housing Reform from the UK," [*Economic Journal* 133, 2640-2675](#). ([Replication code and data](#))
- Favilukis, J., P. Mabilille and S. Van Nieuwerburgh, 2022, "Affordable Housing and City Welfare," [*Review of Economic Studies* 90\(1\), 293-330](#).
- Fischel, W. A., 2001, "Homevoters, Municipal Corporate Governance, and the Benefit View of the Property Tax," [*National Tax Journal* 54\(1\), 157-173](#).
- Fuster, A. and B. Zafar, 2016, "To Buy or Not to Buy: Consumer Constraints in the Housing Market," [*American Economic Review: Papers & Proceedings* 106\(5\), 636-640](#).
- Galster, G.C., 1983, "Empirical Evidence on Cross-Tenure Differences in Home Maintenance and Conditions," [*Land Economics* 59\(1\), 107-113](#).
- Glaeser, E.L. and J.M. Shapiro, 2003, "The Benefits of the Home Mortgage Interest Deduction," [*Tax Policy and the Economy* 17, 37-84](#).
- Goetzmann, W. N., 1993, "The Single Family Home in the Investment Portfolio," [*Journal of Real Estate Finance and Economics* 6, 201-222](#). (Main Collection HD251)
- Green, R.K. and M.J. White, 1997, "Measuring Benefits of Homeowning: Effects on Children," [*Journal of Urban Economics* 41, 441-61](#). (Main Collection HJ9103)
- Gyourko, J., P. Linneman, and S. Wachter, 1999, "Analyzing the Relationships among Race, Wealth, and Home Ownership in America," [*Journal of Housing Economics* 8, 63-89](#). (Main Collection HD7285)

- Ha, S. and C.A.L. Hilber and O. Schöni, 2021, "Do long distance moves discourage homeownership? Evidence from England." [*Journal of Housing Economics* 53, #101766](#).
- Hanson, A., 2012, "Size of home, homeownership, and the mortgage interest deduction," [*Journal of Housing Economics* 21\(3\), 195-210](#).
- Hanson, A., 2020, "Taxes and Borrower Behavior: Evidence from the Mortgage Interest Deductibility Limit," [*Journal of Urban Economics* 118, #103256](#).
- Haurin, D. R. and H. L. Gill, 2002, "The Impact of Transaction Costs and the Expected Length of Stay on Homeownership," [*Journal of Urban Economics* 51\(3\), 563-584](#).
- Henderson, J.V. and Y. Ioannides, 1983, "A Model of Housing Tenure Choice," [*American Economic Review* 73\(1\), 98-113](#). (Main Collection HB1)
- Hilber, C.A.L., 2005, "Neighborhood Externality Risk and the Homeownership Status of Properties," [*Journal of Urban Economics* 57\(2\), 213-241](#). (Main Collection HJ9103)
- Hilber, C.A.L., 2007, "The Determinants of Homeownership across Europe: Panel Data Evidence", [Mimeo, LSE, November](#).
- Hilber, C.A.L., 2010, "New Housing Supply and the Dilution of Social Capital," [*Journal of Urban Economics* 67, 419-437](#). (Main Collection HJ9103)
- Hilber, C.A.L. and Y. Liu, 2008, "Explaining the Black-White Homeownership Gap: The Role of Own Wealth, Parental Externalities and Locational Preferences," [*Journal of Housing Economics* 17\(2\), 152-174](#).
- Hilber, C.A.L. and A. Mense, 2023, "Structural Density and Homeownership," [Mimeo, LSE, September](#).
- Hilber, C.A.L. and O. Schöni, 2016, "Housing Policies in the United Kingdom, Switzerland, and the United States: Lessons Learned," [*Cityscape* 18\(3\), 291-332](#).
- Hilber, C.A.L. and O. Schöni, 2020, "On the Economic Impacts of Constraining Second Home Investments," [*Journal of Urban Economics* 118, #103266](#).
- Hilber, C.A.L. & O. Schöni, 2022, "Housing Policy and Affordable Housing," [*Oxford Research Encyclopedia of Economics and Finance*](#).
- Ladd, H. F., 1998, "Evidence on Discrimination in Mortgage Lending," [*Journal of Economic Perspectives* 12\(2\), 41-62](#). (Main Collection HB1)
- Linneman, P., 1985, "An Economic Analysis of the Homeownership Decision," [*Journal of Urban Economics* 17\(2\), 230-246](#). (Main Collection HJ9103)
- Linneman, P. and S. Wachter, 1989, "The Impacts of Borrowing Constraints on Homeownership," [*Journal of the American Real Estate and Urban Economics Association* 17\(4\), 389-402](#). (Main Collection HB251)
- Munch, J. R., M. Rosholm and M. Svarer, 2006, "Are Homeowners Really More Unemployed?" [*Economic Journal* 116\(514\), 991-1013](#).
- Oswald, A. 1996, "A conjecture on the explanation for high unemployment in the industrialized nations: part I," [Warwick University Economic Research Paper, No. 475](#).
- Robst, J., R. Deitz, and K.M. McGoldrick, 1999, "Income Variability, Uncertainty and Housing Tenure Choice," [*Regional Science and Urban Economics* 29, 219-229](#).

- Sinai, T. and N. Souleles, 2005, "Owner Occupied Housing as a Hedge against Rent Risk," [*Quarterly Journal of Economics* 120\(2\), 763-789.](#)
- Sinai, T. and N. Souleles, 2013, "Can Owning a Home Hedge the Risk of Moving?," [*American Economic Journal: Economic Policy* 5\(2\), 282-312.](#)
- Sodini, P., S. Van Nieuwerburgh, R. Vestman and U. Von Lilienfeld-Toal, 2023, "Identifying the Benefits from Homeownership: A Swedish Experiment," [*American Economic Review* 113\(12\), 3173-3212.](#)
- Sommer, K. and P. Sullivan, 2018, "Implications of US Tax Policy for House Prices, Rents, and Homeownership," [*American Economic Review* 108\(2\), 241-274.](#)
- Van Nieuwerburgh, Stijn, 2023, "The Remote Work Revolution: Impact on Real Estate Values and the Urban Environment," [*Real Estate Economics* 51, 7-48.](#)

Topic 8: Housing Issues in China: Facts, Causes & Policies

Lecture Handout 8. Weeks 10-11.

- 8.1 Some General Stylized Facts on Chinese Cities
- 8.2 China's Housing Affordability Issues: The Problem and Potential Causes
- 8.3 Implemented Policies and Policy Evaluation
- 8.4 Other Housing-Related Problems (If time permits)
 - a) Overbuilding and Ghost Towns: Facts and Potential Causes
 - b) Local Government Debt: Facts and Potential Causes
- 8.5 Conclusions

Core Readings (compulsory)

- Glaeser, E., Huang, W., Ma, Y., & Shleifer, A., 2017, "A real estate boom with Chinese characteristics," [*Journal of Economic Perspectives*, 31\(1\), 93-116.](#)
- Wu, J., Gyourko, J., & Deng, Y., 2016, Evaluating the risk of Chinese housing markets: What we know and what we need to know. [*China Economic Review*, 39, 91-114.](#)

Other Relevant Readings (to deepen understanding + further background readings)

- Bai, C., Li, Q., & Ouyang, M., 2014, "Property taxes and home prices: A tale of two cities," [*Journal of Econometrics*, 180\(1\), 1-15.](#)
- Brueckner, J. K., Fu, S., Gu, Y., & Zhang, J., 2017, "Measuring the stringency of land use regulation: The case of China's building height limits," [*Review of Economics and Statistics*, 99\(4\), 663-677.](#)
- Cai, H., Henderson, J. V., & Zhang, Q., 2013, "China's land market auctions: evidence of corruption?," [*The Rand journal of economics*, 44\(3\), 488-521.](#)
- Cai, H., Wang, Z., & Zhang, Q., 2017, "To build above the limit? Implementation of land use regulations in urban China," [*Journal of Urban Economics*, 98, 223-233.](#)
- Chamon, M. D., & Prasad, E. S., 2010, "Why are saving rates of urban households in China rising?," [*American Economic Journal: Macroeconomics*, 2\(1\), 93-130.](#)
- Chan, J., Fang, X., Wang, Z., Zai, X., & Zhang, Q., 2020, "Valuing primary schools in urban China," [*Journal of Urban Economics*, 115, 103183.](#)

- Chang, J., Wang, Y., & Xiong, W., 2025., "Price and volume divergence in China's real estate markets: the role of local governments," [*The Review of Financial Studies*, hhaf089.](#)
- Chen, K., & Wen, Y., 2017, "The great housing boom of China," [*American Economic Journal: Macroeconomics*, 9\(2\), 73-114.](#)
- Du, Z., & Zhang, L., 2015, "Home-purchase restriction, property tax and housing price in China: A counterfactual analysis," [*Journal of Econometrics*, 188\(2\), 558-568.](#)
- Gyourko, J., Shen, Y., Wu, J., & Zhang, R., 2022, "Land finance in China: Analysis and review," [*China Economic Review*, 76, 101868.](#)
- Hilber, C. A., & Robert-Nicoud, F., 2013, "On the origins of land use regulations: Theory and evidence from US metro areas," [*Journal of Urban Economics*, 75, 29-43.](#)
- Hsu, W. T., Li, X., Tang, Y., & Wu, J., 2017, "Determinants of urban land supply in the people's republic of China: how do political factors matter?" [*Asian Development Review*, 34\(2\), 152-183.](#)
- Li, K., Qin, Y., & Wu, J., 2020, "Recent housing affordability in urban China: A comprehensive overview," [*China Economic Review*, 59, 101362.](#)
- Li, K., Tang, Y., & Wang, Q., 2025., "Impact of fertility relaxation on the housing market outcomes," [*Journal of Urban Economics*, 150, 103812.](#)
- Li, H., & Zhou, L. A., 2005, "Political turnover and economic performance: the incentive role of personnel control in China," [*Journal of public economics*, 89\(9-10\), 1743-1762.](#)
- Liu, C., & Xiong, W., 2018, "China's Real Estate Market," [*NBER Working Paper No. 25297. National Bureau of Economic Research.*](#)
- Lyu, X., 2024, "Revisiting property tax capitalization," [*Regional Science and Urban Economics*, 108, 104039.](#)
- Niu, D., Sun, W., & Zheng, S., 2020, "The Role of Informal Housing in Lowering China's Urbanization Costs," [*Regional Science and Urban Economics*, 103638.](#)
- Painter, G., Yang, L., & Yu, Z., 2003, "Heterogeneity in Asian American home-ownership: The impact of household endowments and immigrant status," [*Urban Studies*, 40\(3\), 505-530.](#)
- Rogoff, K. S., & Yang, Y., 2024, "A tale of tier 3 cities," [*Journal of International Economics*, 152, 103989.](#)
- Shi, W., Chen, J., & Wang, H., 2016, "Affordable housing policy in China: New developments and new challenges," [*Habitat International*, 54, 224-233.](#)
- Shi, L., Leichtle, T., Huang, X., Wurm, M., & Taubenböck, H., 2025., "The decreasing housing utilization efficiency in China's cities," [*Nature Cities*, 2\(1\), 70-80.](#)
- Somerville, T., Wang, L., & Yang, Y., 2019, "Using purchase restrictions to cool housing markets: A within-market analysis," [*Journal of Urban Economics*, 103189.](#)
- Wang, Z., Zhang, Q., & Zhou, L. A., 2019, "Career Incentives of City Leaders and Urban Spatial Expansion in China," [*Review of Economics and Statistics*, 1-45.](#)
- Wei, S. J., & Zhang, X., 2011, "The competitive saving motive: Evidence from rising sex ratios and savings rates in China," [*Journal of political Economy*, 119\(3\), 511-564.](#)

- Xiong, W., 2023, "Derisking Real Estate in China's Hybrid Economy," [NBER Working Paper No. 31118. National Bureau of Economic Research.](#)
- Wu, J., Gyourko, J., & Deng, Y., 2012, "Evaluating conditions in major Chinese housing markets," [Regional Science and Urban Economics, 42\(3\), 531-543.](#)
- Yu, X., 2024, "Low-rise buildings in big cities: Theory and evidence from China," [Real Estate Economics, 52\(2\), 366-400.](#)
- Zheng, H., Zhang, R., Yin, X., & Wu, J., 2025., "Unused housing in urban China and its carbon emission impact," [Nature Communications, 16\(1\), 1985.](#)

Seminars

Students are expected to participate actively in the seminars. The seminars will start in the third week of WT and will take place weekly (W3-W5, W8-W10).

During seminars, the main points of the lectures will be reviewed and some points may be re-explained on students' demand. Seminars may take different forms, e.g.: solving exercises or problem sets; presentations by students of some texts; discussions of past exam questions; debates on given topics.

Students in charge of a presentation must upload their presentation onto Moodle prior to the Wednesday seminar.

Presentations are always given by 2 students who jointly prepare their presentation. The length of **shorter sub-group presentations** varies in time, depending on the seminar format and the nature of the presentation, but **usually is between 5-10 minutes**. The **seminar handouts provide details**. **Longer joint paper presentations shall not exceed 20 minutes** (max. 10 minutes per student).

Provisional Seminar Schedule

SEMINAR 1 (Week 3) – Topic: Centralized vs. Decentralized Provision of Local Public Goods

- Seminar format: Case study/debate among students with sub-groups presenting and defending different views
- Readings for seminar: Differ by sub-group – see separate handouts
- Note: Different sub-groups focus on different readings
- Group allocation and further instructions: see separate Excel sheet (on Moodle)

SEMINAR 2 (Week 4) – Topic: Historic Preservation

- Seminar format: Case study/debate among students with sub-groups presenting and defending different views
- Key readings for seminar: separate readings for each sub-group—see separate handouts
- Note: Different sub-groups focus on different key readings
- Group allocation and further instructions: see separate handout (on Moodle)

SEMINAR 3 (Week 5) – Topic: Estimating the Housing Supply Price Elasticity for UK Regions

- Seminar format: Problem set with sub-group presentations by students & discussion

- Relevant key readings: See handout
- Sub-group allocation and further instructions: see separate handout (on Moodle)

SEMINAR 4 (Week 8) – Topic: Housing Market Dynamics around the Globe – Facts and Determinants *(with a special focus on Asian markets)*

- Seminar format: **Small sub-group presentations** of statistical facts along with an attempt to explain the empirical regularities; presentations followed by discussion
- Sub-group allocation and further instructions: see separate handout (on Moodle)

SEMINAR 5 (Week 9) – Topic: Property Market Dynamics: Theories & Empirical Tests **+ Past Exam Paper**

- Seminar format: Sub-group presentations of answer to past exam question (Q7 of 2012/13 exam) & subsequent discussion
- Key readings for seminar: See under Seminar Readings (above)
- Sub-group allocation and further instructions: see separate handout (on Moodle)

SEMINAR 6 (Week 10) – Topic: Should Governments Subsidize Homeownership?

- Seminar format: **Key paper presentations** by students & subsequent discussions *(2 larger groups)*
- Papers to be discussed: DiPasquale and Glaeser (1999) and Hilber and Turner (2014)
- **Task for all students: Read key papers and prepare questions for presenters**

Feedback Mechanism / Exam Preparation

There will be an in-person mock exam (date to be confirmed; likely Week 8 of WT). This is a formative assessment (it does not count towards the final grade) designed to simulate the summative assessment (which counts for 100% of the grade). The exam has two sections and four questions in total (two per section). Each section includes one essay-style question and one partitioned question. Students must answer **one question from each section**. Attendance at the mock exam is voluntary. Answer outlines will be discussed and collective feedback provided at the end of the Revision Lecture in Week 11. All students who attempted the mock exam are invited to attend the feedback session.

General Criteria for Marking Written Work

Explicit marking criteria are utilized to ensure assessment reliability and validity. The following 7 criteria are utilized to mark essays:

1. Presentation and Clarity of Expression

In a good essay, the presentation shows a polished and imaginative approach to the topic. Thoughts and ideas are clearly expressed. Grammar and spelling are accurate and a fluent academic writing style is applied.

2. Referencing

Referencing is consistently accurate using usual procedures.

3. Use of literature

Use of a wide range of sources, which have been thoroughly analyzed, applied, and discussed. The use of the literature has developed from own ideas. The use of the literature is justified.

4. Use of Theory

Assignment demonstrates integration and innovation in the selection and handling of theory.

5. Critical Analysis of Theory

Assignment consistently demonstrates application of critical analysis well integrated in the text.

6. Application of Theory to Practice

Theory applied to real world examples; topic applied to personal, social, and professional practice; practice relevant; innovative.

7. Conclusions

Clear conclusions well-grounded in analysis, theory and literature, showing developments of new concepts.

Check-List for Oral Presentations (Seminar Presentations)

1. Visual aids

Clarity	clear = +	confusing = -
Handling	adept = +	clumsy = -
Variety	much = +	none = -
Independence	much = +	over-reliant = -

2. Voice

Volume	appropriate = +	too loud / quiet = -
Intonation	varied = +	monotonic = -
Speed	paced = +	too slow / fast = -

3. Interaction

Gesture	appropriate = +	inappropriate = -
Eye contact	appropriate = +	inappropriate = -
Movement	dynamic = +	static = -
Countenance	friendly = +	hostile = -
Orientation	facing = +	hiding = -

4. Content

Narrative	structured = +	unstructured = -
Illustration	examples = +	none = -
Humour	appropriate = +	inappropriate = -
Creativity	original = +	unimaginative = -
Detail	relevant = +	irrelevant = -
Reflection	critical = +	descriptive = -
Involvement	enthusiastic = +	bored = -

5. Teamwork

Co-ordination	integrated = +	isolated = -
Emergency	helped = +	no help = -
Workload	equal = +	unequal = -

6. Answering questions

Quality	articulate = +	monosyllabic = -
Relevance	appropriate = +	inappropriate = -
New ideas	adaptable = +	dogmatic = -

Advice on How to Prepare and Give Short Presentations

Note: This advice has been prepared by Dr. Julian, Reader in Physics at Cambridge University, who has kindly given his permission for the wider use of the document.

Throughout your career in science or elsewhere, the only glimpse many people will have of you will be when you give presentations. Early in your career most of your presentations will be short, so you must be as effective as possible.

Before You Start Preparing

1. Think first of all about your audience, what do they already know about the subject of your talk?
2. What is the purpose of your talk? In other words, what do you want the audience to remember from your talk? You will be lucky if, one week later, any of them remembers *anything* you have said, so don't be too ambitious. Also, it is difficult to successfully communicate more than one or two key ideas in a 10 to 15 minute talk. So focus on conveying the most important information in a way that will be remembered.

Preparation

1. Make up a title that captures the main theme of the talk.
2. Organize the talk: divide it into Introduction, Main Body and Summary. Pay attention to the logical flow of ideas. Explain why your topic is interesting.
3. Design your slides. It will help if you sketch them first. Some rules:
 - don't put too much information on each one,
 - use large lettering (font size 24, preferably larger),
 - use black or dark colors - don't use yellow or mix red and green.
4. Rehearse your talk. *This is the only way to get the timing right*, which is important. Also, it ensures that you have the material straight in your mind. Thus, you can focus on your presentation, rather than trying to remember the material while speaking.

Giving the Talk

1. Speak clearly and not too quickly, avoid um's and ah's between words.
2. Don't drop your voice at the end of sentences.
3. Make eye contact with the audience. Facing the audience and pointing to the transparency may block the view of some people and/or expose shaking hands. If necessary, use a long pointer to point to the screen, but don't stand for long periods of time with your back to the audience.
4. Explain all jargon or, if possible, avoid it.

Controlling Nervousness

Everyone gets nervous speaking in public. It might be helpful to:

- memorize the first few lines of your talk;
- keep a list of keywords on a separate sheet of paper, or on a page behind each transparency;

- take a few deep breaths before you begin; .pretend you are talking to one person; relax and try to enjoy yourself!

Note on Handouts / Lecture Notes

- The handouts are typically designed as ‘skeleton’ lecture notes. They provide the ‘bare bones’ of the lecture. They are the absolute essentials such as key points, precise definitions, or difficult-to-draw graphs. Skeleton notes leave you to ‘flesh out’ the subject matter in your own words.
- The handouts are intended to free you from excessive note-taking so that you can take a more active part in the session. They are intended to help you to organize and reflect on course material.
- The handouts are by no means complete. Furthermore, reading handouts (lecture notes) without attending the lecture can be misleading. The handouts do not dispense you to do three things:
 1. Attend the lectures - Understanding lecture notes is much easier after the lecture
 2. Do the readings – Handouts can at best provide an overview and summary of a particular topic. Readings help you to reflect, question, and—finally—understand a particular subject matter.
 3. Reflect and think about the issues and the problems - This is the main objective of my handouts.
- As we assess analytical skills and critical independent thinking, do not reproduce lecture notes in exams, essays and dissertations (long essays). Reproducing lecture notes does not demonstrate your ability to think and to use what you have learned intelligently. It just demonstrates that you have a good memory.
- Finally, feedback on handouts / lecture notes is highly appreciated. Knowing what is unclear and could be improved helps me to improve the effectiveness of my teaching and the effectiveness of your learning.

Note on Plagiarism

What is plagiarism? Plagiarism ranges from unacknowledged borrowing of original ideas and citations to the wholesale copying of somebody else’s work. In other words, plagiarism is at the same time a theft of intellectual property and cheating. Students found guilty of plagiarism can be expelled from the School. Self-plagiarism is also plagiarism.

AI-Policy

The Department recognizes that its students will want to use Generative AI to assist with ideas, understanding and essay structure. Within bounds this is acceptable. However, no AI generated text or content should be submitted as part of any formative or summative assessments.